

Recommendation & Investment Thesis

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Investment Risks and Strengths

Investment Strengths

- Leading North American branded water platform with regionally dominant spring water brands including Poland Spring, Arrowhead, Deer Park, Ice Mountain, Ozarka, and Zephyrhills supported by broad consumer recognition and entrenched retail distribution
- Non-discretionary recurring demand profile tied to daily hydration consumption rather than discretionary spending, supporting relatively stable revenue visibility across economic cycles
- Diversified four-channel distribution model across Retail, Direct Delivery, Exchange, and Refill reduces dependence on any individual customer, banner, or consumption occasion
- Vertically integrated coast-to-coast manufacturing and distribution network with 80+ spring sources creates a high-cost, operationally intensive asset base that is difficult to replicate and supports long-term pricing power
- Solid free cash flow generation capacity with management guiding to ~\$800M Adj. FCF in 2026 as integration costs normalize and merger synergies build
- First Lien Term Loan B offers 6.10% YTW at 100.85 price with first lien secured positioning and materially stronger recovery protection than unsecured alternatives at comparable carry
- March 2026 refinancing extended secured maturities to 2031 without incremental leverage, reducing near-term refinancing risk and demonstrating continued lender support
- Floating-rate structure preserves current income and provides rate flexibility across different rate environments
- Term Loan trades modestly above par with healthy secondary liquidity and multi-dealer quote depth, reflecting stable lender demand rather than refinancing stress
- Secured stack remains conservatively positioned at approximately 2.0x first lien leverage with substantial enterprise value cushion supporting recovery expectations across moderate stress scenarios
- Strong liquidity profile with ~\$1.04B total liquidity consisting of ~\$288M cash and a fully undrawn \$750M revolver
- Revolver maintenance covenant only tested when drawn, limiting near-term covenant pressure while revolver remains undrawn

Investment Risks

- Gross debt remains elevated at ~\$5.2B with deleveraging dependent on successful realization of merger synergies and normalization of integration costs through 2026
- Investment thesis is execution-dependent, with management guidance implying substantial free cash flow improvement from current LTM levels that still requires operational delivery
- Integration complexity remains meaningful following the BlueTriton / Primo Water merger, particularly across route optimization, manufacturing footprint integration, and direct delivery operations
- Direct Delivery channels remains exposed to slower office occupancy recovery and evolving workplace consumption patterns that could pressure higher-margin delivery volumes
- Capex intensity remains elevated relative to traditional asset-light beverage peers due to vertically integrated spring, bottling, and distribution infrastructure requirements
- EBITDA margins remain below long-term branded beverage peer levels and require continued synergy realization to support the projected deleveraging trajectory
- One Rock Capital Partners maintains significant voting control and could pursue capital allocation decisions that prioritize sponsor returns over creditor interests
- First Lien Term Loan currently trades above par, limiting upside potential given issuer refinancing flexibility and standard 101 soft-call protection through September 2026
- Floating-rate exposure could pressure interest coverage if benchmark rates move materially higher from current levels, though current coverage remains well above covenant thresholds
- Unsecured debt stack remains sizable and will require successful refinancing in 2028-2029, with market access dependent on sustained deleveraging execution and stable operating performance
- Consumer packaged beverage industry remains competitive with large-scale participants including Coca-Cola, PepsiCo, and private label alternatives competing across pricing, shelf space, and distribution
- Category growth remains relatively low-single-digit, limiting ability to materially outgrow leverage through topline expansion alone and placing greater importance on operational execution and cash flow conversion

Re-Rating Triggers

BUY on the First Lien Term Loan B maintained. Increase conviction at any of the following:

- Net leverage sustained below 3.0x for two consecutive quarters demonstrating clear deleveraging execution and improving balance sheet flexibility
- Integration costs substantially roll off with 2026E Adj. EBITDA delivery at or above the \$1,490M midpoint, confirming synergy realization and normalization of cash conversion
- 2026 Adj. FCF trends toward the ~\$800M guided run-rate, supporting accelerated debt reduction and reinforcing the deleveraging path
- Management formally prioritizes debt reduction over incremental M&A, shareholder returns, or sponsor-oriented capital allocation
- TLB reprices modestly wider despite stable operating performance, creating incremental spread and carry within the secured stack

Re-underwrite to PASS at any of the following:

- Net leverage trends sustainably above 4.0x on EBITDA underperformance, operational disruption, or incremental debt-funded M&A
- Revolver becomes meaningfully drawn for operating liquidity rather than temporary working capital management or investment purposes
- 2026E Adj. FCF materially underperforms the ~\$800M guidance range, suggesting integration normalization and synergy capture are weaker than expected
- Retail spring water volumes weaken materially, indicating fundamental category deterioration rather than temporary integration-related disruption
- Integration execution deteriorates through 2026, resulting in sustained margin pressure, delayed synergy realization, or elevated restructuring costs
- TLB reprices materially tighter above current levels, limiting incremental total return potential relative to underlying refinancing and call risk

Conclusion

Primo Brands is a fundamentally stable consumer credit supported by recurring hydration demand, scaled distribution infrastructure, and consistent free cash flow generation following completion of the BlueTriton / Primo Water merger. The core underwriting question is not demand durability but execution: management's ability to convert integration normalization and synergy realization into sustained deleveraging over the next 12 to 24 months. Current leverage remains elevated for a branded beverage issuer, but the March 2026 refinancing materially reduced near-term secured maturity risk and the company retains strong liquidity with an undrawn revolver and nearly \$300M of balance sheet cash.

The recommended instrument is the First Lien Term Loan B (Ba3/BB, 6.10% YTW, 100.85 price, March 2031 maturity). The TLB offers the best relative value in the capital structure, providing first lien secured positioning at effectively equivalent carry to the unsecured notes while materially improving downside protection in a stress scenario. The facility recently refinanced at par and currently trades modestly above par, reflecting stable lender demand and healthy market access rather than refinancing stress. The investment case is principally a carry and deleveraging story rather than a spread compression or distressed recovery thesis. Floating-rate exposure supports current income and provides rate flexibility. Recovery support is strengthened by moderate first lien leverage, substantial enterprise value cushion, and stable branded consumer demand characteristics. BUY the First Lien Term Loan B.

Term Sheet Summary

Credit Facility	
Borrower:	Primo Brands Corporation / Triton Water Holdings, Inc. / Primo Water Holdings Inc.
Credit Facility:	\$750M RCF + \$3,090M 1L Term Loan B + \$712.8M 6.250% Sr Notes + \$500.6M 3.875% Sr Notes (€441.9M) + \$717.0M 4.375% Sr Notes
Guarantors:	Company + all material wholly-owned domestic restricted subsidiaries
Issue Date:	March 31, 2021 (Original) / March 31, 2026 (Fifth Amendment Refinancing)
Maturity Date:	March 31, 2031 (TLB) / February 28, 2030 (Revolver) / April 1, 2029 (6.250% Notes) / October 31, 2028 (3.875% Notes) / April 30, 2029 (4.375% Notes)
Applicable Margin:	S+275bps (Term Loan) / S+300bps (Revolver)
CSA:	-
Financial Covenants:	Max 5.0x First Lien Net Leverage (Revolver only, maintenance) / Min 2.0x Interest Coverage (Revolver only)
Floor:	0.50% SOFR floor
Term Loan Amortization:	1% per annum
Call Protection:	101 soft call for six months (expires 9/30/2026)

Industry Comps (\$mm) — Large-cap bevera Ticker		Price	YTD Price Chg	Market Cap	Total Debt	Cash & Equivalents	Minority Interest	Enterprise Value	Revenue LTM	EBITDA LTM	EBITDA Margin	Net Debt /EBITDA	TEV/ EBITDA	
Coca-Cola Company		KO	\$ 80.82	16.9%	347,727	43,890	10,574	2,101	383,144	49,284	16,719	33.9%	2.0x	22.9x
PepsiCo, Inc.		PEP	\$ 149.12	4.8%	203,810	52,728	10,475	153	246,216	95,449	18,682	19.6%	2.3x	13.2x
Median											26.7%	2.1x	18.0x	

Primo Brands	PRMB	\$ 23.18		8,480	5,155	288	-	13,347	6,676	1,411	21.1%	3.4x	9.5x
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Debt Comps (\$mm)	Borrower	Facility Ratings	Maturity	Spread	Amount Amount O/S	Market Market Price	Yield	EBITDA	Total Debt	Cash	Gross Leverage	Total Leverage
Energizer Driven Brands	Energizer Holdings	Ba1/BB	2/28/2032	Term S+ 225bps	760	100.50%	6.38%	536	3,315		6.2x	5.9x
	Driven Brands Holdings	B1/BB-	11/17/2028	L+ 325bps	500	99.42%	7.11%	352	2,214	162	6.3x	5.8x
Average							99.96%	6.75%			6.2x	5.8x
Median							99.96%	6.75%			6.2x	5.8x

Primo Brands	Primo Brands Corp.	Ba3 / BB	3/31/2031	S+ 275bps	3,090	100.85%	6.26%	1,411.3	5,155	288	3.7x	3.4x
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Capital Structure																			
(\$ in millions)	Spread	Interest Rate	Maturity Date	Book				Interest Expense	Market Price	Callable	Call Price	Yield-to-Worst	Current Yield	Market				S&P/Moodys	
				Mar-26	Leverage	Gross Lev	FCF Yield	LTV						Value	Leverage	FCF Yield	LTV	Credit	
Revolver (\$750mm)	S+ 300bps	6.56%	2/28/30	-					-	100.00%	-	-	6.56%	6.56%	-			Ba3 / BB	
1L Term Loan B	S+ 275bps	6.31%	3/31/31	3,090.0				195.0	100.85%	3/31/26	101.00%	6.10%	6.26%	3,116.3				Ba3 / BB	
Total First Lien Secured Debt				3,090.0	2.0x	2.2x	11.6%	21.0%	195.0					3,116.3	2.0x	11.5%	21.2%		
3.875% Sr Notes due Oct 2028	Fixed	3.88%	10/31/28	500.6				19.4	99.90%	10/31/25	100.00%	3.92%	3.88%	500.1				B3 / B	
4.375% Sr Notes due Apr 2029	Fixed	4.38%	4/30/29	717.0				31.4	97.38%	4/30/26	100.00%	5.35%	4.49%	698.2				B3 / B	
6.250% Sr Notes due Apr 2029	Fixed	6.25%	4/1/29	712.8				44.6	99.75%	4/1/26	100.00%	6.34%	6.27%	711.0				B3 / B	
Total Senior Unsecured Debt				1,930.4	2.0x	1.4x	11.6%	12.3%	95.3					1,909.3	2.0x	20.1%	12.1%		
Total Debt (Ex. Leases)				5,020.4	2.0x	3.6x	11.6%	35.5%	-					5,025.6	2.0x	6.9%	35.5%		
Less: Debt issuance Costs/Discounts				(52.1)				-											
Plus: Capitalized Leases (Long Term + Short Term)				168.2				-											
Finance leases - Most Recent 10-K Opening Balance				#####															
New Finance Lease Additions (Most Recent 10Q)				#####															
Principal Payments on Finance Leases (Most Recent 10Q)				#####															
Plus: Other				18.8				-											
Total Debt				5,155.3	3.4x	3.7x	6.7%	36.5%	290.3										
Plus: Equity Value				8,480.1															
Less: Cash and Cash Equivalents				(288.2)															
Total Enterprise Value				13,347.2	9.5x	-	2.4%												

Assumptions	
Value Date	5/16/2026
SOFR	3.56%
SOFR Floor	0.50%
CSA	0.00%
Stock Price	\$ 23.18

Revolver Size	750.0
Incremental Term Loan	0.0
ABL Borrowing Base	750.0
LC's Outstanding	0.0

Shares Outstanding	
Common Stock	365.8390
Other Class Stock	0.0000
Warrants	0.0000
TSM Shares Outstanding	0.0000
Fully Diluted Shared	365.839
Date of Share Count	

2026 Guidance	
Revenue Growth (Low)	1.00%
Revenue Growth (High)	3.00%
Adj. EBITDA (Low)	\$ 1,465
Adj. EBITDA (High)	\$ 1,515
Capex Guidance	4.00%
Adj. FCF Guidance (Low)	\$ 790
Adj. FCF Guidance (High)	\$ 810

Most Recent Quarter	3/31/2026
Last Updated	5/16/2026

Financial Summary					
Summary	FY 2023	FY 2024	FY 2025	LTM	2026E
Revenues	4,698.7	5,152.5	6,664.0	6,676.4	6,797.3
Acquisitions	-	-	-	-	-
PF Revenues	4,698.7	5,152.5	6,664.0	6,676.4	6,797.3
EBITDA	783.6	995.0	1,446.8	1,411.3	1,490.0
Acquisitions	-	-	-	-	-
PF EBITDA	783.6	995.0	1,446.8	1,411.3	1,490.0
Capex	(203.6)	(150.2)	(377.4)	(419.9)	(271.9)
1st Lien Int.	(288.1)	(339.6)	(326.5)	(322.7)	(290.3)
2nd Lien Int	-	-	-	-	-
Senior Int	-	-	-	-	-
Taxes	(25.1)	(33.3)	(64.6)	(60.4)	(63.8)
Change in NWC	(107.8)	126.5	(114.2)	(35.9)	(35.9)
Other CFO	(41.7)	(284.8)	(261.2)	(247.0)	(28.1)

FCF	117.3	313.6	302.9	325.4	800.0
FCF Yield	0.9%	2.3%	2.3%	2.4%	6.0%
EBITDA Margin	16.7%	19.3%	21.7%	21.1%	21.9%
% of debt	3.8%	10.1%	9.8%	10.5%	25.9%

Quarterly Summary		
	Q4'25	Q1'26
Revenue	1,554.1	1,626.1
Adj. EBITDA	334.1	306.0
Margin	21.5%	18.8%
Capex	(145.8)	(104.5)
Adj. FCF	104.7	50.2
Actual FCF	57.3	(0.7)
Uses of Cash		
Acq./Div.	(14.8)	(24.5)
Debt Change	(9.1)	6.9

Liquidity	
Revolver	750.0
Less: Drawn	-
Less: LC's	0.0
Revolver Available	750
Cash	288.2
Total Liquidity	1038.2

Back-Up Data (\$ in Millions, December 31 FY End)

	FY 2023	Q1'24	Q2'24	Q3'24	Q4'24	FY 2024	Q1'25	Q2'25	Q3'25	Q4'25	FY 2025	Q1'26	LTM
Income Statement													
Revenue	\$4,698.7	\$1,135.8	\$1,314.4	\$1,305.1	\$1,397.2	\$5,152.5	\$1,613.7	\$1,730.1	\$1,766.1	\$1,554.1	\$6,664.0	\$1,626.1	\$6,676.4
<i>yoy growth</i>	-	-	-	-	-	9.7%	42.1%	31.6%	35.3%	11.2%	29.3%	0.8%	18.6%
COGS	(3,346.7)	(790.3)	(884.6)	(888.9)	(967.1)	(3,530.9)	(1,092.7)	(1,189.2)	(1,237.9)	(1,124.0)	(4,643.8)	(1,161.2)	(4,712.3)
Gross Profit	\$1,352.0	\$345.5	\$429.8	\$416.2	\$430.1	\$1,621.6	\$521.0	\$540.9	\$528.2	\$430.1	\$2,020.2	\$464.9	\$1,964.1
<i>% Margin</i>	28.8%	30.4%	32.7%	31.9%	30.8%	31.5%	32.3%	31.3%	29.9%	27.7%	30.3%	28.6%	29.4%
SG&A	(924.2)	(218.7)	(256.3)	(239.7)	(335.9)	(1,050.6)	(327.8)	(378.6)	(343.0)	(341.0)	(1,390.4)	(336.7)	(1,399.3)
Acquisition, Integration and RX Expenses	(16.9)	(5.8)	(13.2)	(10.0)	(175.1)	(204.1)	(39.8)	(49.7)	(44.2)	(33.8)	(167.5)	(20.8)	(148.5)
Other Operating Expenses	(4.9)	3.8	(1.3)	(9.0)	(0.1)	(6.6)	(0.2)	0.2	5.4	(1.7)	3.7	30.6	34.5
Plus: Other One-Time Charges	70.6	17.4	24.4	28.5	222.4	292.7	47.7	95.7	83.1	94.2	320.7	17.1	290.1
Adjusted EBIT	\$476.6	\$142.2	\$183.4	\$186.0	\$141.4	\$653.0	\$200.9	\$208.5	\$229.5	\$147.8	\$786.7	\$155.1	\$740.9
<i>% Margin</i>	10.1%	12.5%	14.0%	14.3%	10.1%	12.7%	12.4%	12.1%	13.0%	9.5%	11.8%	9.5%	11.1%
Plus: Depreciation & Amortization	305.7	75.2	74.3	77.8	106.0	333.3	128.6	145.3	163.1	173.2	610.2	141.0	622.6
Plus: SBC	1.3	0.3	0.3	0.3	7.8	8.7	12.0	12.9	11.9	13.1	49.9	9.9	47.8
Adjusted EBITDA	\$783.6	\$217.7	\$258.0	\$264.1	\$255.2	\$995.0	\$341.5	\$366.7	\$404.5	\$334.1	\$1,446.8	\$306.0	\$1,411.3
<i>% Margin</i>	16.7%	19.2%	19.6%	20.2%	18.3%	19.3%	21.2%	21.2%	22.9%	21.5%	21.7%	18.8%	21.1%
<i>yoy Growth</i>	-	-	-	-	-	27.0%	56.9%	42.1%	53.2%	30.9%	45.4%	(10.4%)	45.4%
Cash Flow													
IS Interest Expense	(288.1)	(79.9)	(86.2)	(85.7)	(87.8)	(339.6)	(82.1)	(81.9)	(83.1)	(79.4)	(326.5)	(78.3)	(322.7)
IS Taxes, Net	(25.1)	(11.4)	(18.3)	(18.5)	14.9	(33.3)	(17.7)	(16.3)	(26.4)	(4.2)	(64.6)	(13.5)	(60.4)
CF Def Interest/Debt Related	13.5	3.5	4.5	4.5	5.9	18.4	6.1	7.6	8.2	7.9	29.8	8.8	32.5
CF Def Taxes	(40.5)	(17.3)	(12.9)	(13.4)	(34.5)	(78.1)	(2.6)	1.8	6.5	(51.9)	(46.2)	3.7	(39.9)
CF Change In Working Capital	(107.8)	(91.0)	(29.7)	120.1	127.1	126.5	(150.3)	(45.4)	37.5	44.0	(114.2)	(72.0)	(35.9)
Adjusted FCF before Capital Expenditures	335.6	21.6	115.4	271.1	280.8	688.9	94.9	232.5	347.2	250.5	925.1	154.7	984.9
CF Capital Expenditures	(203.6)	(23.5)	(41.1)	(32.3)	(53.3)	(150.2)	(62.0)	(53.9)	(115.7)	(145.8)	(377.4)	(104.5)	(419.9)
Adjusted Free Cash Flow	132.0	(1.9)	74.3	238.8	227.5	538.7	32.9	178.6	231.5	104.7	547.7	50.2	565.0
IS One-Time Items	(70.6)	(17.4)	(24.4)	(28.5)	(226.2)	(296.5)	(72.4)	(82.7)	(103.2)	(77.2)	(335.5)	(36.0)	(299.1)
CF One-Time Items	55.9	1.8	11.5	19.0	39.1	71.4	16.3	5.2	39.4	29.8	90.7	(14.9)	59.5
CF from Operations	320.9	6.0	102.5	261.6	93.7	463.8	38.8	155.0	283.4	203.1	680.3	103.8	745.3
Capital Expenditures	(203.6)	(23.5)	(41.1)	(32.3)	(53.3)	(150.2)	(62.0)	(53.9)	(115.7)	(145.8)	(377.4)	(104.5)	(419.9)
Free Cash Flow	117.3	(17.5)	61.4	229.3	40.4	313.6	(23.2)	101.1	167.7	57.3	302.9	(0.7)	325.4
Acquisitions/Divestitures	(17.1)	(21.2)	(6.2)	(9.0)	(14.3)	(50.7)	38.1	(12.1)	(40.3)	(14.8)	(29.1)	(24.5)	(91.7)
Other CFI	3.1	3.0	(0.3)	0.2	666.6	669.5	0.7	15.4	11.9	40.6	68.6	18.0	85.9
Changes in Debt/Other Debt Payments	69.0	410.7	(68.3)	(59.7)	(7.9)	274.8	(7.7)	(10.5)	(9.1)	(9.1)	(36.4)	6.9	(21.8)
Equity Transactions	(230.2)	(382.7)	-	-	(241.6)	(624.3)	(156.6)	(135.6)	(110.1)	(159.8)	(562.1)	(74.5)	(480.0)
Distribution to NCI	-	-	-	-	-	-	-	-	-	-	-	-	-
Other CFF	(1.1)	(5.9)	(1.5)	(2.3)	(3.7)	(13.4)	(16.5)	(7.9)	(9.0)	(0.1)	(33.5)	(13.4)	(30.4)
Change in Discontinuing Ops/FX	0.2	(0.3)	(0.1)	0.1	4.5	4.2	(2.2)	8.7	0.1	39.2	45.8	(0.5)	47.5
Change in Cash	(58.8)	(13.9)	(15.0)	158.6	444.0	573.7	(167.4)	(40.9)	11.2	(46.7)	(243.8)	(88.7)	(165.1)
Balance Sheet													
Net A/R	-	-	-	-	444.0	444.0	504.6	587.0	550.0	431.8	431.8	535.8	535.8
Total Revenues	4,698.7	1,135.8	1,314.4	1,305.1	1,397.2	5,152.5	1,613.7	1,730.1	1,766.1	1,554.1	6,664.0	1,626.1	6,676.4
Days A/R	-	-	-	-	29.0x	31.5x	28.5x	31.0x	28.4x	25.4x	23.7x	30.1x	7.3x
Net A/P and Accrued Expenses	-	-	-	-	1,233.8	1,233.8	1,131.8	1,236.0	1,251.4	1,189.8	1,189.8	1,229.8	1,229.8
Total Expenses	(4,270.9)	(1,009.0)	(1,140.9)	(1,128.6)	(1,303.0)	(4,581.5)	(1,420.5)	(1,567.8)	(1,580.9)	(1,465.0)	(6,034.2)	(1,497.9)	(6,111.6)
Days A/P and Accrued Expenses	-	-	-	-	(86.4x)	(98.3x)	(72.7x)	(71.9x)	(72.2x)	(74.1x)	(72.0x)	(74.9x)	(18.4x)
Cash and Cash Equivalents	-	-	-	-	614.4	614.4	449.7	412.0	422.7	376.9	376.9	288.2	288.2
Cash from Bond Offering	-	-	-	-	-	-	-	-	-	-	-	-	-
PP&E	-	-	-	-	2,083.9	2,083.9	2,045.3	2,045.4	2,064.6	2,185.5	2,185.5	2,160.3	2,160.3
Total Assets	-	-	-	-	11,194.5	11,194.5	10,982.0	11,049.2	10,956.1	10,602.8	10,602.8	10,590.4	10,590.4
Total Debt	-	-	-	-	5,028.1	5,028.1	5,044.6	5,092.6	5,086.9	5,157.9	5,157.9	5,155.3	5,155.3
Total Debt / EBITDA	-	-	-	-	19.7x	5.1x	14.8x	13.9x	12.6x	15.4x	3.6x	16.8x	3.7x
Shareholders Equity	-	-	-	-	3,444.2	3,444.2	-	3,246.2	3,160.0	2,992.6	2,992.6	2,957.2	2,957.2